

and many of the key recommendations need to be implemented. Former finance minister late Arun Jaitley had in the Budget of July 2014-15, set aside ₹500 crore for an initiative called 3P India, or PPP India. It was supposed to take all necessary steps to galvanise the PPP model as a major driver of infrastructure investments, but unfortunately, it did not take off.

While insurance regulator Irdai has already come up with guidelines to regulate surety bonds, the presence of several grey areas has made it difficult for them to gradually replace bank guarantees. If this is not done with speed, then bank guarantees will become—if they've not already become—a choking point for Indian engineering, procurement and construction (EPC) players and other developers to raise funding.

The National Bank for Financing Infrastructure Development (NaBFID) must also rise in stature to not just being a *sarkari* lender, but also act as a change agent to bring all the innovations required in infrastructure financing, including developmental activities of creating a new portfolio of nationally important projects.

The next big priority is the funding of urban infrastructure. India has 6,000-plus towns and cities—popularly referred to as urban local bodies. With rapid economic development and the consequent urbanisation, the infrastructure in our cities is crumbling. This goes back to the constitutional amendment of 1992 called the 74th Amendment, which enjoined Indian urban local bodies to take charge of their own destinies. But for various reasons, that has not been allowed to happen. Therefore, a very concerted effort of revitalising urban institutions to

be able to raise substantial amounts of municipal bonds is the next big-ticket item requiring substantial attention. The municipal bonds are popularly referred to as 'munis' in the US and are the single-largest source of city infrastructure development there and in many other advanced countries. Indian towns and cities have to move ahead on very serious institutional reforms to be able to float munis.

Urban transport is another big challenge, even though there has been a lot of development in India

energy, there has been significant progress. Although solar and wind energy—both of which are variable and intermittent—generation has increased substantially, the big challenge facing India is to ramp up and create adequate storage facilities, if not immediately then by 2030. Storage comes in three forms—battery storage, PSP or pumped storage plants, and futuristically, green ammonia and green hydrogen. All these vectors need to be pursued with great vigour so that renewable energy can be integrated into the mainstream of power delivery 24x7.

Lastly, when the new World Bank President Ajay Banga visited India, there was talk of creating a very necessary Green Energy Transition Fund. I think the finance ministry should take this forward. The World Bank seems keen to lead this project and contribute about 10-15% of the corpus and also mobilise other multilateral development banks to participate and contribute another 45-50% of the

corpus. India can use the various cesses it collects—such as coal and compensatory forestation cess—to contribute the rest of the amount and set up its own India Green Transition Fund. It can also allow funding by India Inc. in the green energy transition fund to be counted as an activity under the corporate social responsibility mandate. This will be a win-win for both the government and the corporates. **BT**

As told to Surabhi. The author is Founder and Managing Trustee of The Infravision Foundation. Views are personal

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on trunk transportation, which includes railways, national highways as well as the proliferation of air travel. Our cities, from Bengaluru to Delhi to Mumbai to Hyderabad, are choking with rapidly mushrooming traffic due to the use of personal vehicles. Unless this problem is addressed, living in these cities is going to be a nightmare. The setting up of the Unified Metropolitan Transport Authority or UMTA that will integrate all kinds of transport options in a holistic manner is a crying need of our times. There is no agency in India today doing that; everybody is operating in silos.

Even in terms of generating